

Tubize Chatillon Corporation Balance Sheet, December 31, 1932

Assets		Liabilities	
Property and		7% First Preferred Stock	
Equipment	\$19,009,000	(par \$100)	\$ 2,500,000
Patents, Processes, etc	802,000	\$7 Second Preferred Stock	
Miscellaneous Assets	478,000	(par \$1)	136,000
Current Assets	4,258,000	Common Stock (par \$1) . . .	294,000
		Bonded Debt	2,000,000
		Current Liabilities	613,000
		Reserve for Deprecia-	
		tion, etc	11,456,000
		Surplus	7,548,000
Total Assets	<u>\$24,547,000</u>	Total Liabilities	<u>\$24,547,000</u>

The book value of the First Preferred is computed as follows:

Total Assets		\$24,547,000
Less: Intangible Assets	802,000	
Reserve for Depreciation, etc	11,456,000	
Bonds	2,000,000	
Current Liabilities	613,000	14,871,000
Net assets for First Preferred		<u>\$ 9,676,000</u>
Book value per share		\$387

Alternative method:

Capital Stock at par	\$2,930,000
Surplus	7,548,000
	<u>\$10,478,000</u>
Less Intangible Assets	802,000
Net assets for First Preferred	<u>\$9,676,000</u>

The Reserve for Depreciation and Miscellaneous Purposes was very large and might have included arbitrary allowances belonging in Surplus. But in the absence of details a reserve of this kind must be deducted from the assets. (It later transpired that a substantial part of the reserve was needed to absorb a write-off of plant abandoned owing to obsolescence.)

The book value of the Second Preferred stock is readily computed from the foregoing, as follows: